UNIT I FUNDAMENTALS OF BUSINESS

CHAPTER 3

CLASSIFICATION OF BUSINESS ACTIVITIES

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பொருள்கருவி காலம் வினையிடனொடு ஐந்தும்
இருள்தீர எண்ணிச் செயல். -குறள் 675

Couplet:
Do an act after a due consideration of the (following) five, viz. money, means, time, execution and place.

Learning Objectives

To enable the students to

i. describe the classification of business activities
ii. understand the meaning of Industry:
iii. classify the industries into primary, secondary and tertiary industries
iv. compare industry, commerce and trade
v. explain the auxiliary activities in commerce

Introduction

The manufacturers produces the goods for the consumers at one point of location. They distribute the goods to final consumer through intermediaries like wholesaler, retailers, distributors and the like. All these process taking place from the point of production to the point of consumption are collectively called as business activities. All business activities can be classified into two broad categories i.e., Industry and Commerce.

3.01 Industry

Industry refers to economic activities, which are connected with conversion of resources into useful goods. The production side of business activity is referred as industry. Generally the term industry is used for activities in which mechanical appliances and technical skills are involved. These include activities relating to producing or processing of goods as well as breeding and rising of animals.

The term industry is also used to mean group of firms producing similar or related goods. For example, cotton textile industry refers to all manufacturing units producing textile goods from cotton. Similarly, electronic industry would include all firms producing electronic goods, and so on. Further, in common parlance, certain services like banking and insurance are also referred to as industry, say banking industry, insurance industry etc.

Kinds of Industries

Industries may be classified into two broad categories,

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